



Tega and Apollo Funds consortium - Molycop

MN-85006

Phase 1 Determination

Acquisition may be put into effect

28 April 2026

1. Determination and statement of reasons

Notified acquisition	A consortium comprised of Tega Industries Limited (Tega) and funds advised and/or managed by affiliates of certain subsidiaries of Apollo Global Management, Inc (Apollo Funds) proposed acquisition of all outstanding shares in the subsidiaries of AIP MC Holdings LLC that collectively form Molycop (together, Molycop) (the Acquisition)]
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer is a consortium comprising Tega and the Apollo Funds. Tega is a supplier of mining products such as mill and scrubber liners, trommels, screen media, hydrocyclones, slurry pumps and parts, conveyor components, chutes, and other rubber and composite wear parts. Tega also provides installation, condition monitoring, and maintenance services. Apollo is an alternative asset management firm headquartered in New York. Examples of current investments include companies in natural resources, manufacturing and industrial, education, insurance, financial services, and leisure businesses. The target, Molycop, is a global supplier of mining consumables, with a focus on the manufacture and sale of grinding media and flotation chemicals for use in both semi-autogenous grinding mills and ball mills. These products are used for mineral extraction and processing of copper, gold, and iron ore. In Australia, Molycop also supplies engineered products for the Australian rail and manufacturing industries.
Relationship between the parties	Molycop and Tega supply complementary products. Molycop's grinding media and Tega's mill liners are both inputs used by mining customers in grinding mills to process ore. Grinding media are fed into grinding mills together with ore. The rotation of the grinding mill creates impact between the grinding media and ore, reducing the ore material down to a finer size and liberating the minerals of value. Key types of grinding media supplied by Molycop include: • SAG balls: large, forged steel balls that operate with a semi-autogenous (SAG) mill – the first stage of grinding ore after crushing. • Small / medium balls: smaller forged steel balls that operate a ball mill – the second phase of grinding ore (after the SAG mill). • High-chrome balls: typically smaller balls (also used in a ball mill) with a higher chromium content, that have a lower wear rate than forged steel but are more susceptible to breakage. Mill liners, such as those supplied by Tega, are customised wear parts that fit the interior grinding mills and ball mills to protect internal surfaces from wear and impact during grinding to extend a mill's life and improve operational efficiency.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition

	assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form and information from third parties, and publicly available information. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings: • There are no horizontal overlaps or material vertical relationships between the parties. • The ACCC has considered the potential for conglomerate effects, particularly whether Tega would have the ability and incentive to leverage Molycop's strong market position in grinding media to foreclose rival suppliers of mill liners by anti-competitively bundling or tying the two products. However, the ACCC found: – Many mining customers would be able to switch to a different supplier of grinding media in response to any tying or bundling strategy. While Molycop is the only supplier of Australian-made grinding media and has a very high market share, they are relatively commoditised products and customers are able to switch to imported products. – There would be practical barriers to bundling or tying the products. For example, customers typically procure mill liners and grinding media separately through different methods (spot purchases for mill liners and competitive tenders for grinding media) and over different time periods (grinding media are typically supplied under longer term supply arrangements).
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act